

Making real-time decisions

Innovation is about uncertainty, and so the ability to review and change your decisions over time is crucial. To make a decision and then commit all of your resources to it without having the option of changing plans midway is risky. The longer a project goes on, the more resources are put at risk if it fails.

1

INITIAL TRIGGER
An idea for a new product appears. Should it be explored further?

Allocating resources

Smart organizations know that turning an idea into reality is a learning process. As you move through the project you discover new things about the technology, about the market you thought existed, about your competitors. So it makes sense to view the journey in stages, and to increase resources allocated at each stage, from outline concept through to the eventual launch of the product.

2

CONCEPT DEFINITION
Information sought on technology, markets. Does it make business sense?

Using stage-gate reviews

A widely used approach, originally developed by Robert Cooper, a Canadian professor, is to introduce strategic decision points at various stages in the process. Instead of making a one-time decision at the start, this "stage-gate" approach sets up a series of decision points, each tougher than the last. Key questions are asked at each stage, and only if the answers are met does the gate open so that resources flow to support the next stage of development.

3

FEASIBILITY STUDIES
Market surveys are conducted. Should it enter full-scale development?

